

Slow and Steady Changes Win the Race

A common mistake in cutting back is to aim for going from \$500 to \$0, a surefire recipe for disaster. My rule of thumb: I focus on two areas at a time—max—and I usually target cutting 50 percent over a very gradual six months.

For example, let's say you spend \$300 per month on clothes. It's tempting to get motivated and say, "That's it! I'm done! No more clothing purchases." But I usually find that people who make dramatic cuts fail.

Instead, here's the approach I would take:

- » First, I'd elaborate on my Rich Life. What's my vision? What are the specific, beautiful details of why I'm making changes? What would I do *instead* of spending \$300 on clothes each month? I'd write these details down and even hang up a notecard on my computer monitor.
- » Next, I'd probe my own thoughts about clothes. Do I *love* them? Or just *like* them? Can I purchase clothes and still honor my desire to wear something nice, but now balance it with a bigger vision of my Rich Life?
- » Finally, I'd set a gradual goal. Starting with that \$300 average, I'd cut by 10 percent each month: \$270, \$240, \$210 . . . until I reached my target goal of, say, \$150 per month. (Quick note: Remember to redirect the money you've saved into an area that matters to you, whether it's another spending area or saving and investment.)

Slow and steady works for the long term—especially when you combine it with your psychological reframes and a crisp vision of your Rich Life.